Limited and Reasonable Assurance Engagements – Introductory Comments for the Board

1. To address respondents' calls for further guidance and practical examples on applying the differential requirements set out in the Standard, the Task Force suggested a table in an Appendix to the Guidance illustrating the difference between procedures that might be performed for each of an:
   - EER limited assurance engagement, and
   - EER reasonable assurance engagement
2. In September 2020, the Board noted that limited assurance can extend from just above assurance that is likely to enhance the intended users' confidence about the subject matter information to a degree that is clearly more than inconsequential to just below reasonable assurance. Providing only one example of limited assurance could therefore be misleading. Including at least two examples was desirable: one illustrating a level of assurance just above clearly inconsequential (the lower end of the range of limited assurance) and one that almost achieves reasonable assurance (the upper end of the range of limited assurance).
3. Since the IAASB September 2020 meeting, the Task Force has updated the table:
   - To simplify the rows where the requirements are the same for limited and reasonable assurance
   - To include illustrative procedures for each of:
     - o The lower end of the range of limited assurance
     - o The upper end of the range of limited assurance
     - o Reasonable assurance
3. The table follows the stages of an assurance engagement from pre-acceptance through to reporting for those matters addressed by the chapters of the Guidance. The summary table of illustrative procedures is not intended to:
   - Cover the entire engagement process;
   - Repeat the requirements of the Standards word-for-word; or
   - Suggest requirements or 'best practice.'

Appendix X: Limited and Reasonable Assurance – EER Illustrative Table

ISAE 3000 (Revised) ('the Standard') contemplates two levels of assurance: limited assurance and reasonable assurance. It may be challenging to understand what is different in practical terms between the two. Further, while the work effort for a reasonable assurance engagement may be better understood as it is generally thought of as being akin to a financial statement audit level of assurance, limited assurance can cover a wide range of assurance from:

- Just above assurance that is likely to enhance the intended users' confidence about the subject matter information to a degree that is clearly more than inconsequential (lower end of the range of limited assurance); to
- Just below reasonable assurance (upper end of the range of limited assurance).

The table below has been developed to give examples and illustrative procedures of the ways in which reasonable and limited assurance may differ, and how limited assurance at the lower end of the range may differ from limited assurance at the upper end of the range. It is important to note that these are examples only; they are not intended to suggest that the illustrative procedures are sufficient, or the only way in which the requirements of the Standard might be approached. In practice, the nature, timing and extent of the practitioner's procedures will be a matter of judgment, in light of the particular engagement circumstances.

In the table, the left-hand column sets out certain of the requirements of an EER assurance engagement from pre-acceptance to reporting that are covered by the Guidance. The adjacent two columns set out the source of the requirement in the Standard, and the chapter in the EER Guidance where further guidance is included, respectively. The next three columns set out example procedures and considerations, for each of:

- The lower end of the range of limited assurance (grey column);
- The upper end of the range of limited assurance (blue column); and
- Reasonable assurance (yellow column).

The green rows are included to indicate that the requirements of the Standard are the same for limited assurance (across the range of limited assurance) and reasonable assurance.

	Source of requirement in the Standard	EER Guidance chapter	Guidance, illustrative considerations and example procedures		
			To achieve limited assurance (a lower level of assurance than reasonable assurance but, nonetheless, a meaningful level of assurance), the practitioner performs procedures to obtain assurance that may vary across a wide range. The left hand (grey) column below sets out example procedures that may fall at the lower end of the range; the middle (blue) column sets out example procedures that may be at the upper end of the range of limited assurance		*To achieve reasonable assurance (a higher level of assurance than limited assurance), the practitioner conducts extensive procedures*
			Limited Assurance (just above assurance that is likely to enhance the intended users' confidence about the subject matter information to a degree that is clearly more than inconsequential)	**Limited Assurance (just below reasonable assurance)**	**Reasonable Assurance**
Preconditions	ISAE 3000 (Revised) 24(a),(b)	3	Procedures to determine the presence of preconditions are based on: • A preliminary knowledge of the engagement circumstances, and • Discussion with the preparer. **If the criteria are not suitable for reasonable assurance, then they are not suitable for limited assurance, and vice versa**.		
Competence and capabilities	ISAE 3000 (Revised) 31(b), (c), 32	1	The engagement partner is required to have sufficient assurance skills, knowledge and experience to accept responsibility for the assurance conclusion, and to be satisfied that the engagement team and any practitioner's external experts collectively have the necessary professional competencies to perform the assurance engagement. Such competencies are not determined by the level of assurance but, for example, by the complexity of the EER subject matter and its measurement or evaluation.		

	Source of requirement in the Standard	EER Guidance chapter	Guidance, illustrative considerations and example procedures
Professional skepticism, professional judgment, and assurance skills and techniques	ISAE 3000 (Revised) 37-39	2	The need to apply professional skepticism and professional judgment, and to apply assurance skills and techniques as part of an iterative, systematic engagement process is the same for limited and reasonable assurance.
Suitability of the criteria at the planning stage	ISAE 3000 (Revised) 41-43	4, 5	As part of planning the engagement, the practitioner determines whether the criteria are suitable for the engagement. The work effort to do so may be driven, for example, by the complexity and diversity of the EER subject matter, or the complexity and extent of the organizational boundary. Considerations about the suitability of criteria may include, among others: the method for determining the entity's organizational boundary, the underlying subject matter to be accounted for, acceptable quantification or evaluation methods, and criteria for presentation and disclosure.
Materiality	ISAE 3000 (Revised) 44	9	Materiality considerations are the same for limited and reasonable assurance as they are based on the information needs of the intended users (i.e. what 'matters' to, or would change, the decisions of intended users), rather than on the nature or extent of procedures that the practitioner performs to address assurance risk. Materiality is considered in the context of quantitative and qualitative factors.
Understanding the underlying subject matter and other engagement circumstances	ISAE 3000 (Revised) 45	3, 4, 5, 6, 7	***What to understand*** The practitioner is required to make inquiries about: • Whether the preparer has any knowledge of actual, suspected or alleged intentional misstatement or non-compliance with laws and regulations affecting the subject matter information. • The preparer's internal audit function (if any), and its activities and main findings with respect to the subject matter information. • Whether the preparer has used any experts in preparing the subject matter information.

	Source of requirement in the Standard	EER Guidance chapter	Guidance, illustrative considerations and example procedures		
			The practitioner also obtains an understanding of the underlying subject matter and other engagement circumstances as a basis for designing and performing their procedures. This may include obtaining an understanding of, among other matters, the nature of the entity, its industry, regulatory and other external factors relevant to the EER engagement (e.g. the entity's suppliers, customers, service organizations, competitors, and the political, geographical, social and economic environment in which the entity operates), changes from the prior period or, in some cases, expected changes in future period(s).		
	ISAE 3000 (Revised) 46L/R	3, 4, 5, 6, 7	***Extent of understanding*** Sufficient to be able to identify **areas** where a material misstatement of the EER information is likely to arise i.e. at the level of the EER subject matter information as a whole, and for material aspects of the EER information. For example, the practitioner may hold discussions with management to understand for whom the reported water usage is being prepared and for what purpose, how water is used in the entity's production process, and what sources of water are used (e.g. metered water supply, boreholes, rainwater storage, abstracted from watercourses, or a combination of these). They may also ask if there	***Extent of understanding*** Sufficient to be able to identify **areas** where a material misstatement of the EER information is likely to arise i.e. at the level of the EER subject matter information as a whole, and for material aspects of the EER information For example, the practitioner may hold discussions with management to understand for whom the reported water usage is being prepared and for what purpose, how water is used in the production process, and what sources of water are used (e.g. metered water supply, boreholes, rainwater storage, abstracted from watercourses, or a combination of these), whether the production	***Extent of understanding*** Sufficient to be able to identify and assess the **risks of material misstatement** (at the level of the **types of misstatement** that may arise) in the EER information: • At the level of the EER subject information as a whole. • At the level of the type of misstatement that might arise for material aspects of the EER information (it may be useful to use assertions to consider the type of misstatement that might arise). For example, <u>in addition</u> to the procedures performed in the second paragraph of the (blue) column to the left, the practitioner may discuss with management:

	Source of requirement in the Standard	EER Guidance chapter	Guidance, illustrative considerations and example procedures		
			have been changes since the prior period. Procedures to obtain an understanding of the underlying subject matter and other engagement circumstances, and to assess areas where a material misstatement of the EER information is likely to arise do not, by themselves, provide evidence on which to base the assurance conclusion.	process is intermittent or continuous, whether the company recycles any wastewater for re-use in its production, whether there are any regulatory, social or environmental pressures to conserve water, and whether there have been any changes since the prior period. The practitioner may also perform high level (i.e. at an aggregated level) analytical review procedures to help identify the existence of unusual events or trends that might indicate areas where a material misstatement of the EER information is likely to arise. For example, the practitioner may compare water usage for the entity's facilities with production figures from those facilities to help identify unusually low or high water usage. Procedures to obtain an understanding of the underlying subject matter and other engagement circumstances, and to assess areas where a material misstatement of the EER	• How frequently water meters are calibrated and by whom, and how water from other sources is measured. • Whether there are targets to be met (e.g. regulatory targets or internal performance targets that might provide an incentive to misstate the information) • Whether or not the entity reports standard industry metrics using standard industry criteria; and how the entity's reported water usage compares with that of similar entities in the industry. The practitioner may also: • Perform analytical procedures at a more disaggregated level than those performed for limited assurance, and • Observe procedures being performed by personnel, or inspect documentation or equipment (e.g., reading of water meters, or documented

	Source of requirement in the Standard	EER Guidance chapter	Guidance, illustrative considerations and example procedures		
				information is likely to arise do not, by themselves, provide evidence on which to base the assurance conclusion.	records of calibration of meters).
Considering whether to use the work of internal audit, a practitioner's expert or another practitioner	ISAE 3000 (Revised) 32(a),(b), 45(b),(c)	1	Considerations about whether to use the work of internal audit, practitioner's expert or another practitioner are the same for limited and reasonable assurance.		
Assessing the objectivity and competence when the work of such a party (see row above) is to be used	ISAE 3000 (Revised) 52 (a),(b), 53, 55(a),(b)	1	In assessing their competence, capabilities and objectivity, it may be useful to consider, for example: • Who they report to (e.g. Internal Audit may report to the Board of Directors or Audit committee), • Professional body membership requirements, such as those to do with ethics and independence, continuing professional education, or license to practice, • Published papers written by the expert, or the expert's membership of industry or other bodies, • Whether another practitioner is from within the same network or firm or outside of the practitioner's own organization and what quality control procedures that organization has in place, • Personal or professional relationships with the preparer entity, • Whether the other practitioner operates in a regulatory environment that actively oversees the practitioner, and • The extent of involvement the practitioner expects to be able to have in the work of these other parties.		
Obtaining an understanding of	ISAE 3000 (Revised) 47 L/R	4, 6	Obtaining an understanding of the process used to prepare the subject	Obtaining an understanding of the process used to prepare the subject	<u>In addition</u> *to* the matters set out in the bulleted points in the (blue)

	Source of requirement in the Standard	EER Guidance chapter	Guidance, illustrative considerations and example procedures		
processes and, where relevant, internal control			matter information may include making inquiries about aspects of the process that are relevant to the engagement. For example, the practitioner may inquire of management how the entity: • Determines its organizational boundary, and identifies which facilities are to be included in the reported water usage. • Measures and records water usage (e.g. if metered, are meters read by a third party or by the entity itself; if a mass balance approach is used, what is the process carried out and how is it recorded?) • Collates the subject matter information once it has been 'captured' (e.g. is it manually recorded on paper, or by entering it into a spreadsheet, or is the process automated?) • Checks and reports the collated information against the criteria	matter information (i.e. the considerations set out in the grey column to the left) may also include making inquiries to obtain an understanding of: • The control environment, including the 'tone at the top', and whether the systems and processes are well-established or still developing, complex or less complex, automated or manual, devolved or centrally operated and monitored. • What information systems are used, and how they interface (e.g. how is water usage from different sources, using different systems and devices for measuring and recording, collated into one set of data, and how does the entity make sure that no source is omitted or duplicated?) • The communication of EER reporting roles and responsibilities (e.g. how are production personnel made aware of their responsibility to	column to the left, the practitioner obtains an understanding of, for example: • Control activities relevant to the engagement that are judged necessary to understand in order to assess the risks of material misstatement (e.g. at the assertion level). • The entity's monitoring of controls. In obtaining an understanding of the above, the practitioner is required to evaluate the design of controls relevant to the engagement and determine whether they have been implemented by performing procedures <u>in addition</u> to inquiry of personnel responsible for the EER information. The practitioner may, for example: • Hold discussions with management and others to understand the entity's risk assessment process (i.e. *how* the entity identifies risks related to managing and reporting its water usage), inspect

	Source of requirement in the Standard	EER Guidance chapter	Guidance, illustrative considerations and example procedures		
			• Prepares and reviews the narrative accompanying the reported water usage metric. The practitioner is not required to evaluate the design of controls and determine whether they have been implemented.	manage and report water usage, and of how they should report the information?) • The results of the entity's EER risk assessment process, if any (e.g. water usage may be carefully monitored and managed by the entity if production facilities are in an area of water scarcity; risk assessments may be performed regularly and consequent action may be taken to mitigate risks identified by management). The practitioner is not required to evaluate the design of controls and determine whether they have been implemented, but may want to ask about what control activities the entity has in place to prepare the EER information in accordance with the criteria.	documentation of that process, or minutes of meetings of the risk committee, and documentation of follow-up actions taken by the entity to mitigate identified risks, • Inspect procedures manuals for a description of how relevant controls are designed to operate (e.g. the manual may state: *'to record measured usage, the authorized production personnel enters data directly into the computerized system; the system has pre-populated fields with the name and location of each facility, and units of measure; progression to the next screen is not enabled until all fields are completed and the entries are within the predetermined permitted range for each field'*), • Inspect documentation of user acceptance testing (UAT) and remediation of design weaknesses identified during UAT,

	Source of requirement in the Standard	EER Guidance chapter	Guidance, illustrative considerations and example procedures		
					• Inspect evidence of training of personnel in how to operate controls, • Perform a walkthrough to confirm the understanding of the process and related controls in place, or • Observe controls being performed (e.g. the practitioner may ask the production personnel to show the practitioner how water usage is read from the meters, and how the data is entered into the computerized system, enabling the practitioner to observe whether there are predetermined fields that are required to be completed (as stated in the design), and what happens if the measurements attempted to be entered fall outside the predefined range).
Designing and performing procedures to obtain evidence	ISAE 3000 (Revised) 48L/R – 49L/R	7, 8, 10, 11	The practitioner may consider the reasons for the **area(s)** being identified as where a material misstatement is likely to arise. For	The practitioner may consider the reasons for the **area(s)** being identified as where a material misstatement is likely to arise.	In designing and performing further procedures to respond to the assessed **risks of material misstatement**, the practitioner may

	Source of requirement in the Standard	EER Guidance chapter	Guidance, illustrative considerations and example procedures		
			example, among other reasons, it may be because of: • the inherent nature of the underlying subject matter, the uncertainty or judgment in its measurement, evaluation or disclosure, or because aspects of it may be easily missed. for example, a material misstatement may be more likely to arise in information where mass balance calculations are involved than when water usage is read directly from a meter. • The complexity of the organization, its ownership and control arrangements, or its geographical spread. • Systems and processes that are less automated or still developing, such that there may be a greater likelihood of human error, processing flaws or opportunity for unauthorized intervention. • Incentives to misstate; for example, if a particular target	While the reasons may be the same or similar to those set out in the (grey) column to the left, the procedures may be different in nature, and may be more extensive than those performed at the lower end of the range of limited assurance. For example, the practitioner may consider: • Whether analytical review procedures may be appropriate (e.g. when there is an expectation by the practitioner of being able to develop an expectation of xx), or • Whether it would be more appropriate to perform tests of details, but to a lesser extent than would be the case for a reasonable assurance engagement. The higher the identified likelihood of material misstatement, the more persuasive the evidence the practitioner may look for.	consider the reasons for the assessment of such risks. While high level reasons may be similar to those set out as an example in the (grey) column to the left, the reasons may be considered at a more detailed level (e.g. at the assertion level), so are likely to include consideration of reasons such as: • Inherent limitations in the capabilities of measuring devices (e.g. water meters) or insufficient frequency of their calibration. • Errors or inappropriate judgments made in measuring, evaluating or disclosing the subject matter information, including in the assumptions used in making estimates, the use of inaccurate or incomplete base data on which estimates are based, or in circumstances when complex calculations are involved (e.g. when a mass balance approach is used to calculate water abstracted).

	Source of requirement in the Standard	EER Guidance chapter	Guidance, illustrative considerations and example procedures		
			performance has to be met to retain a license to operate or to avoid fines. The higher the identified likelihood of material misstatement, the more persuasive the evidence the practitioner may look for.		• The risk that unidentified aspects of the underlying subject matter may be missed, for example because of events or transactions outside of the normal course of business, because the preparer relies on a third party for information (e.g. external meter readers or engineering firms to calculate water abstracted), or because of undetected water or wastewater leaks or similar. • How weaknesses in the design of controls or the ineffective operation of controls might give rise to errors, processing flaws or opportunity for unauthorized intervention. The practitioner considers the likelihood of material misstatement due to the particular characteristics of the EER underlying subject matter (inherent risk), and whether the practitioner intends to rely on the operating effectiveness of controls in determining the nature,

	Source of requirement in the Standard	EER Guidance chapter	Guidance, illustrative considerations and example procedures		
					timing and extent of other procedures. The practitioner designs and perform procedures to obtain sufficient appropriate evidence as to the operating effectiveness of controls (to address control risk) when: • There is an expectation that controls relevant to the EER engagement are operating effectively, **or** • Procedures other than test of controls cannot alone provide sufficient appropriate evidence at the level of the type of misstatement that might arise (assertion level); for example, the quantification of water usage may include processes that are highly automated with little or no manual intervention, such as when relevant information is recorded, processed and reported only in electronic form, or when the processing of activity data is integrated with an information

	Source of requirement in the Standard	EER Guidance chapter	Guidance, illustrative considerations and example procedures		
					technology-based operational or financial reporting system. In such cases, evidence may be available only in electronic form, with its sufficiency and appropriateness dependent on the effectiveness of controls. If deviations from controls on which reliance is intended are detected, the practitioner may make specific inquiries to understand the matter(s) and potential consequences, and to determine whether: • The tests of controls performed provide an appropriate basis for reliance on the relevant controls, • Additional tests of controls are necessary, or • The potential risks of material misstatement need to be addressed by other procedures because reliance on the operating effectiveness of relevant controls is not warranted.

	Source of requirement in the Standard	EER Guidance chapter	Guidance, illustrative considerations and example procedures		
					Irrespective of the assessed risks of material misstatement, the practitioner may design and perform tests of details or analytical procedures <u>in addition</u> to tests of relevant controls (if any), for material aspects of the EER subject matter information. For example, the practitioner may consider whether external confirmation procedures are to be performed (for example, when water usage is determined by a third-party firm of engineers on behalf of the entity). If confirmation procedures are to be performed, they are usually performed under the practitioner's direct control, from initiation of the confirmation request to the receipt of the confirmation response, bypassing any involvement by the preparer of the EER subject matter information. The higher the identified likelihood of material misstatement, the more persuasive the evidence the practitioner may look for.

	Source of requirement in the Standard	EER Guidance chapter	Guidance, illustrative considerations and example procedures		
Procedures regarding estimates, including for future-oriented information	ISAE 3000 (Revised) 48 L/R – 49L/R	8,11	Procedures may include, for example inquiring of management: • What assumptions have been used in preparing the estimates, and what source of information has been used as the basis to which assumptions are applied. • Whether the methods for making estimates have been applied consistently or whether there have been changes in circumstances and, if so, how that has affected the methods previously used. Where appropriate, the practitioner may consider performing one or more of the procedures indicated in the middle (blue) column alongside.	In addition to the procedures in the left hand (grey) column alongside, procedures may include, for example: • Consideration of the source of assumptions used by the preparer, whether the assumptions appear reasonable in the circumstances, and how the preparer has considered alternative assumptions and why it rejected them. • Evaluation of whether the methods for making estimates are appropriate and have been applied consistently or whether changes, if any, are appropriate in the circumstances. • Evaluation of whether the entity has appropriately applied the requirements of the applicable criteria relevant to estimates. • Where appropriate, performing one or more of the procedures	Based on the assessed risks of material misstatement, procedures may include, for example, evaluation of whether: • The entity has appropriately applied the requirements of the applicable criteria relevant to estimates. • The methods for making estimates are appropriate and have been applied consistently or whether changes, if any, are appropriate in the circumstances. Taking account of the nature of the estimate, one or more of the following may be undertaken: • Testing how the entity made the estimate and the data on which it is based, evaluating: – the appropriateness of the method of quantification, and – the reasonableness of assumptions used.

	Source of requirement in the Standard	EER Guidance chapter	Guidance, illustrative considerations and example procedures		
				indicated in the right-hand (yellow) column alongside.	• Testing operating effectiveness of the controls over how the entity made the estimate together. • Developing a point estimate or a range to evaluate the entity's estimate; for this purpose: – if assumptions or methods are used that differ from those used by the preparer's, obtain an understanding of the preparer's assumptions or methods sufficient to establish that the point estimate or range being developed takes into account relevant variables and to evaluate any significant differences from the entity's point estimate. – if it is concluded that a range is appropriate - for example, when considering uncertain future-oriented information with a long-

	Source of requirement in the Standard	EER Guidance chapter	Guidance, illustrative considerations and example procedures		
					term time horizon – narrow the range, based on evidence available, until all outcomes are within the range considered reasonable.
Accumulation and evaluation of quantitative misstatements	ISAE 3000 (Revised) 51	9	Accumulate uncorrected misstatements (other than those that are clearly trivial and determine whether uncorrected misstatements are material, individually or in the aggregate, considering the size, nature and circumstances of the occurrence of the misstatements.		
Accumulation and evaluation of qualitative misstatements	ISAE 3000 (Revised) 51	9	Accumulate uncorrected qualitative misstatements (for example, by listing where in the qualitative information they are located, their context, and the reason why considered a misstatement). Consider the effect of uncorrected qualitative misstatements on the aspect of the EER subject matter information to which they relate, as well as to the EER information as a whole. Determine whether uncorrected misstatements are material, individually or when considered together with other uncorrected misstatements, considering the nature and circumstance of the occurrence of the misstatements.		
Other information	ISAE 3000 (Revised) 62	8, 10, 11, 12	When documents containing the subject matter information and the assurance report include other information, the practitioner is required to read that other information to identify material consistencies, if any, with the subject matter information or assurance report.		
Forming the assurance conclusion	ISAE 3000 (Revised) 64-66	8, 9, 10, 11	If there is insufficient evidence to support the practitioner's conclusion, a scope limitation exists, and a modification of the assurance conclusion or withdrawal is necessary.	If there is insufficient evidence to support the practitioner's conclusion, a scope limitation exists, and a modification of the assurance conclusion or withdrawal is necessary.	If there is insufficient evidence to support the practitioner's conclusion, a scope limitation exists, and a modification of the assurance conclusion or withdrawal is necessary.

	Source of requirement in the Standard	EER Guidance chapter	Guidance, illustrative considerations and example procedures		
			The practitioner cannot agree to a change in the terms of the engagement (for example, to a request by the preparer to leave out some sources of water used, for which there is insufficient evidence) where there is no reasonable justification for doing so.	The practitioner cannot agree to a change in the terms of the engagement (for example, to a request by the preparer to leave out some sources of water used, for which there is insufficient evidence) where there is no reasonable justification for doing so.	The practitioner cannot agree to a change in the terms of the engagement when there is no reasonable justification for doing so. An inability to obtain sufficient appropriate evidence to form a reasonable conclusion is not an acceptable reason to change from a reasonable assurance engagement to a limited assurance engagement.
Reporting	ISAE 3000 (Revised) 67-71	12	See Chapter 12 and illustrative limited assurance report.	See Chapter 12 and illustrative limited assurance report.	See Chapter 12 and illustrative reasonable assurance report.